

Maximize Your Business Opportunity at Each Stage of The Government Contracting Lifecycle



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Introduction

Whether businesses are new to government contracting or seasoned veterans, there is a distinct set of stages to go through in order to win business in the public sector. We call this the **Government Contracting Lifecycle** and define it in four stages.

With these four stages in mind, contractors should think through how they will approach each stage with thoughtful analysis. It is through this analysis that they can determine the resources they need, the budget to allocate and their win rate.

STAGE 1: STRATEGIC SALES PLANNING

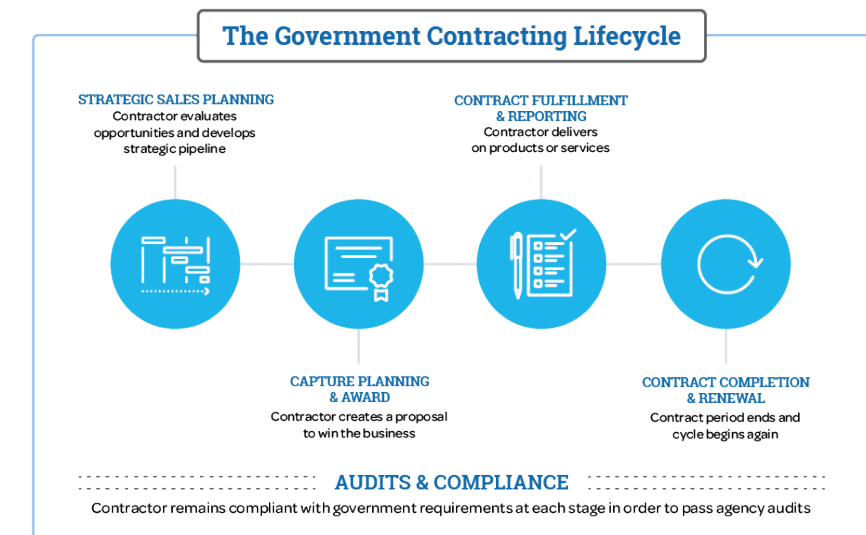


Gathering and analyzing pre-RFP data can be an overwhelming task even for the most seasoned contractor. But it is a vital step in making a go/no-go decision on whether to add a particular contract to the business pipeline. It also informs what to emphasize in the proposal to increase chances of winning - and can even help influence the specifications of the contract.

STAGE 2: CAPTURE PLANNING & AWARD



The amount of investment often needed in terms of both time and expense to submit a proposal can be



considerable. This is why deciding to submit a proposal plays a significant role within capture planning, and is not a decision government contractors take lightly. Contractors rely on the intelligence they gather from the previous stages to impact their decision. Preparing a winning contract can sometimes take years to develop. It can involve teaming with partners, showcasing past relevant experience and having the right certifications - elements that take time to curate.

STAGE 3: CONTRACT FULFILLMENT & REPORTING



With the contract in-hand, the real work can begin. Government contractors execute and fulfill the requirements of their contract during this stage. They are monitoring their time and expenses and ensuring their project is on budget and profitable. They are working to ensure they result in a positive ranking (such as CPARS) to set them up for the next contract or renewal.

STAGE 4: CONTRACT COMPLETION & RENEWAL

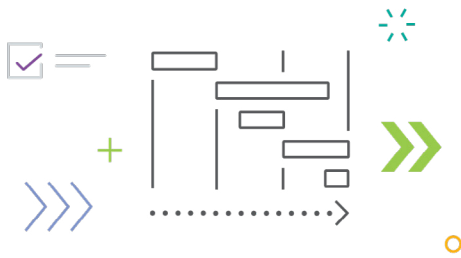


When the contract comes to an end, there might be an opportunity for a renewal. The incumbent contractor has a leg up in the recompute process. Delivering on time and on budget positions the contractor well to use that experience to obtain new contracts and grow their footprint in the public sector.

AT EVERY STAGE: AUDITS & COMPLIANCE

Compliance with the US Government should be top of mind through every stage of the Government Contracting Lifecycle. Every government entity follows standards outlined in two sets of government rules as the basis for their compliance - FAR (Federal Acquisition Regulation) and CAS (Cost Accounting Standards). Avoiding potential Defense Contract Audit Agency (DCAA) audits should be a top consideration for contractors.

Stage 1: Strategic Sales Planning



Government agencies plan their budgets years in advance. Long before they release a formal RFP or begin soliciting bids on a particular project, they are allocating dollars in capital spending plans or creating preliminary budgets that signal opportunities which may come down the road months, or years, later.

For this reason, many contractors find that the key to a healthy pipeline of government opportunities is to create a strategic sales plan by tracking spending forecasts and pre-RFP opportunities as early as possible. That way when the government is actually preparing to release a bid, those strategic contractors will be best prepared to shape the bid in their direction to give them the best opportunity to win the business.

SHAPE BIDS AND RFPs IN THE RIGHT DIRECTION

It's important for businesses to be proactive by starting capture sooner and shaping RFPs in their direction by identifying opportunities to pursue months, or even years, in advance of the formal solicitation release. By acting in advance it creates a window to actively reach out to key decision makers, establish relationships and potentially influence the writing of the bid or RFP down the line – all while getting ahead of the competition.

Searching for active bid announcements across hundreds of government sites or waiting until new opportunities are posted is a strategy that limits growth potential. It wastes precious time and resources that should be used for making bid/no-bid decisions on best-fit new leads and putting together a strong proposal. That's why it's important to begin tracking projects at this early stage of the lifecycle. It can help to have access to tools that offer:

- » Analyst-tracked opportunities through the full procurement lifecycle. It's vital to be able to build a complete, forward-looking picture of good fit opportunities for federal, geographic or vertical market

with opportunity announcements posted years before they're actually released to the public.

- » Comprehensive, personalized searches tied to specifications. Contractors need their go-to-market planning tools to provide searches that are broad enough to capture everything they might be interested in pursuing but specific enough to cut through the noise.
- » Filters and alerts that notify you of updates to potential opportunities. You can't afford to miss out on an update to a potential bid or RFP that you've been tracking for months – staying up to date on the latest developments is crucial to not let your competition get a step up on you.

It also never hurts to gather information and insights from industry experts to understand the target market. Many solutions such as [GovWin IQ from Deltek](#) offer analyst-backed insights and forecasts designed to help businesses identify the issues and pain points influencing the type and scope of investments planned for their target agencies. Customers are able to build a complete, forward-looking picture of good fit opportunities in federal, geographic or vertical market with opportunity announcements posted up to five years before they're released to the public.

The earlier a company knows all of this critical information about a potential opportunity and how it aligns with their own core competencies, the better chance they will have at making the correct bid or no-bid decision. This kind of strategic sales planning will set businesses up for success at the next stage – creating a proposal to win the business.

Compliance Priorities

When evaluating government opportunities for the first time, contractors should keep in mind that their business will need to follow strict government compliance regulations outlined by the Federal Acquisition Regulation (FAR) and Cost Accounting Standards (CAS). Agencies such as the Defense Contract Audit Agency (DCAA) and Defense Contract Management Agency (DCMA) conduct audits and assessments throughout all stages of the Government Contracting Lifecycle to assure the government that the contractor is operating in compliance with FAR and CAS rules. At this pre-award stage, businesses may be subject to audits such as [accounting system audits](#) and [DCAA Standard Form 1408 \(SF1408\) Accounting System Surveys](#). Once the contract is won, compliance only increases in priority, so establishing stringent accounting processes from the beginning is essential.

Stage 2: Capture Planning & Award



When the government is ready to formally seek out vendors to provide it with goods or services, it will release a bid, RFP or contract opportunity in one of several forms. Generally these contract opportunities fall into one of two categories: fixed price and cost-reimbursement. The contract type defines the expectations, obligations, incentives, and rewards for both the government and the contractor during an acquisition. The contract type also determines how much responsibility the contractor is taking on, and how much profit incentive is offered to the contractor for meeting or surpassing its goals.

IDENTIFYING BEST-FIT OPPORTUNITIES

It's important for a business to find the opportunity that best fits their characteristics. Often, the opportunity may be one that contains requirements for small businesses or set-aside groups (such as 8(a), women-owned, minority-owned or service-disabled veteran-owned small businesses). Small businesses often break into new fields or gain contracting experience through subcontracting and serving on a prime's team. It is a way of getting experience that often allows them to avoid some of the complicated compliance requirements and challenges competing against more established vendors, yet gaining some experience and past performance. Published contracts can be found on SAM.gov. Contracts and pre-notification opportunities can be found on [GovWin IQ's market intelligence platform](#).

At the federal level, the U.S. Small Business Administration (SBA) offers a number of programs to help small businesses win some of these government contracts. Similar programs are offered by state and local governments.

Below are several of the most commonly-used programs:

- » Women-Owned Small Business Federal Contracting. The government aims to award at least 5% of federal

contracting dollars to women-owned small businesses every year.

- » Service-Disabled Veteran-Owned Small Business. The government aims to award at least 3% of federal contracting dollars to SDVOSB firms every year.
- » 8(a) Business Development. The government aims to award at least 5% of federal contracting dollars to qualified small disadvantaged businesses every year.
- » HUBZone. The government aims to award at least 3% of federal contracting dollars to HUBZone-certified small businesses every year. A HUBZone is a historically underutilized business zone where the government is looking to foster economic activity such as job creation. Of the small business programs, it is the only program not focused on the ownership of the business, but rather on the location of the business and its employees.
- » All Small Mentor-Protégé Program. Small businesses can get valuable business development help from an experienced government contractor through the mentor-protégé program.

Regardless of the size of one's business or the industry in which they operate, identifying the right solicitations to pursue is a crucial part of the lifecycle process for contractors. And it's difficult to identify opportunities that offer the best chance of winning if you have an incomplete picture of the competitive landscape, are without knowledge of your target agencies, and have limited knowledge of industry labor rates. Having the right information and tools on hand to provide a complete view of the market is vital in order to make better decisions about which opportunities to pursue.

CREATING A WINNING PROPOSAL

Once the solicitation has been released, a government contractor must prepare its proposal to win the business. Deciding to submit a proposal is not a decision government contractors take lightly. The amount of investment needed, in terms of both time and expense, can be considerable. Knowing how to respond to the RFP, who to partner with if necessary, and how to articulate past experience to help secure the winning bid are all important elements in proposal preparations. Relying on fact-based information and detailed analysis is crucial: If the analysis and data is not accurate about an opportunity, vendors will be ill prepared and less likely to respond appropriately and win the contract award.

In order to get from identifying an opportunity to putting together a quality proposal, contractors must go through several steps:

- ☐ Make an effective bid/no-bid decision
- ☐ Research and influence the opportunity
- ☐ Develop a sound win strategy
- ☐ Conduct a competitive analysis
- ☐ Assemble a winning team
- ☐ Perform price to win analysis
- ☐ Support the proposal team

Veteran contractors know that successful businesses don't just follow the request for proposal (RFP) process to win business. Marketing to government agencies, much like marketing in the commercial sector, is about building relationships. And just like in the commercial sector, at the end of the day, government buyers buy from people and companies they know and trust.

Building a reputation as an industry expert, building relationships with potential customers and partners, and getting face time either at industry events or meetings are all as vital in government business as they are in private sector sales. However, it's important to recognize some of the rules and limitations that exist due to acquisition regulations. Once an RFP is released, government communications and interactions with industry are very restricted. One-on-one discussions with the government post-RFP are generally not possible, so it is critical to establish relationships and build trust long before a solicitation is released.

Proposal management is a complex field, and it can be daunting bidding on an opportunity without all the right information – especially when the average proposal costs upwards of \$10,000. But well-written proposals can help make businesses of any size competitive in federal, state and local contracting, and give them the best chance of winning a contract award.

Stage 3: Contract Fulfillment & Reporting



If the business wins the contract award, the next step is to fulfill the service or provide the product. If the contractor did not win, the Contracting Officer (CO) is required to notify your company either orally or through a written statement within a reasonable amount of time. The CO also must debrief all bidders, outlining the number of proposals received, the names of the firms that proposed, and further explanation of how the contract decision was made. It is in the best interest of the contractor to always take the debriefing, whether or not the contract has been won. It offers a chance to get a leg up on the competition the next time around, and can strengthen future proposals by identifying where the proposal went astray, if the contract was lost.

In order to deliver on the contract, the business must be organized according to a project-based setup with a scope (which is the product or service to be delivered), the start-to-finish schedule, and the cost (generally the materials and the labor). The project schedule must contain all the time-phased activities needed to deliver the entire project scope. After defining the project-based setup, the contractor will need to prioritize the maintenance of scrupulous accounting principles and practices to fulfill government compliance requirements.

HANDLING COST ACCOUNTING

One of the top accounting considerations for government contractors is cost – and more specifically, the difference between direct and indirect costs. According to the FAR, a direct cost is “any cost that is identified specifically with a particular final cost objective.” Final cost objective refers to a contract or an element of a contract, such

as a specific task or delivery order, and direct costs can include direct labor, materials, and travel expenses. In contrast, an indirect cost is any cost not classified as a direct cost related to a specific contract, like overhead, general and administrative (G&A) costs, and materials and subcontracting burdens.

With that determination made, next comes classifying a cost as either allowable or unallowable. Under FAR 31.201-2, a cost is allowable only when it meets all of the contract terms, the limitations set forth in FAR 31.201, and is also “reasonable and allocable”. It can be summed up through a simple cost matrix: any cost will be classified as direct allowable, direct unallowable, indirect allowable, or indirect unallowable.

Direct allowable costs tie into one specific contract; in contrast, indirect costs are collected in various pools – the totals of which are allocated or spread, ultimately, to contracts. Indirect cost pools may be allocated to other indirect cost pools, or directly to contracts. The number and composition of pools isn’t dictated by regulation but is left to the contractor. A major component of managing indirect costs is the indirect cost allocation rate, or the rate at which indirect costs are allocated (charged) to contracts. For more information on indirect costs, watch the on-demand webinar [Project Accounting 101: How to Handle Indirect Costs](#).

REPORTING ON CONTRACTS

After the invoice has been submitted to the government, contractors should consider a formal reporting application to make sense of all the accumulation of project data. Few “reports” are more important than the invoices that are submitted to the government. By creating reports which mimic the invoice format and are connected to your financial and project data, contractors can more easily generate bills, minimize data errors, and hopefully get paid faster. Good accounting and business intelligence (BI) systems can help reduce or eliminate the manual effort involved in completing invoices. A good application is a one-stop shop for assessing results by project, department, account, customer, vendor, and the like.

THE BASICS OF REPORTING

Nearly every modern organization, small or large, suffers from an overload of data. Government contractors can reference a number of places where an avalanche of data can be lurking. It’s great having mounds of data, but it can be difficult to turn it into meaningful, actionable information that is sent to decision-makers at the right time. This is why a formal BI application is so vital, using technology to make sense of business data.

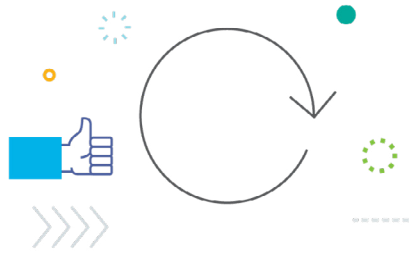
When selecting a BI system to help a business, contractors will need to evaluate each potential solution’s power and ease of use; it may be a substantial amount of effort to build, deploy, and maintain the application. A homegrown reporting tool may give a contractor exactly what they need, but someone has to spend time building and maintaining it; this may take a lot of time. On the other hand, an off-the-shelf tool may have many bells and whistles, but there may be a lot involved in customizing the system for specific business needs. Because many government contractors don’t have IT staff with the time or expertise for a homegrown project, a packaged offering is probably the best bet to get them up-and-running quickly and affordably. They can consider what government contracting reports are included with the solutions that are up for evaluation and whether they would offer value, plus explore how easy it would be to create new reports to meet unique needs.

Post-award compliance is paramount to overall government contracting success. Agencies such as the DCAA and DCMA perform audits after the contract has been won to review contract terms & financial data to ensure charges to the government are accurately allocated. Contractors may be subject to audits such as:

- [Incurred cost electronically \(ICE\)](#)
- [DCAA Floor checks](#)
- [Material management & accounting system \(MMAS\)](#)

It is critical to have an accounting system that can hold the data necessary to pass these agency audits. Deltek’s accounting solution [Costpoint](#) is specifically designed to meet agency audit requirements and comply with FAR and CAS regulations.

Stage 4: Contract Completion & Renewal



While the completion of a contract term might be viewed as the last stage in the Government Contracting Lifecycle, it also signals the potential renewal of that contract and new opportunity to do business as the lifecycle restarts.

When a government contract is first put out to bid, it is often codified in the project documentation that it will be renewed in a specific number of years, and for a number of renewal cycles, from the start. While a contract coming up soon for renewal may signal the end of that contract's specific fulfillment period, savvy business development teams who know how to build a long-term pipeline are often forecasting future business that can be won off of that contract's future renewals. They do this by making it a focal point of their strategy to maintain strong relationships with government agency stakeholders, like procurement officers and end users, to ensure that their firm is top of mind for being awarded future work when that contract comes up for renewal.

Contract renewal cycles vary among U.S. federal and state, local and education (SLED) governments and are often dependent on the type of goods and services provided; however, a general rule of thumb is to expect that most contracts for common goods and services renew every one, three or five years. In more rare cases contracts can have renewal terms of up to 10 years. For example, according to the [Federal Acquisition Regulation System \(FAR\)](#), the primary regulation system for use by all federal agencies in their acquisition of supplies and services with appropriated funds, work performed under a management and operating contract, such as property or facilities management of government facilities, can have a term of up to 10 years before being extended.

Similarly, many contract vehicles facilitated by the [General Services Administration \(GSA\)](#) will contain specific renewal terms and cycles. When a vendor is listed on a

GSA contract, the vendor must understand that this is just a 'license to sell' to the federal government and that maintaining high performance and quality of service is key to ensuring that an organization keeps its reputation in good standing so their 'license to sell' is renewed when the contract's term is up. For example, if an organization is awarded a GSA contract with a 5 year base period with three potential five-year renewal extensions, that could mean 20 years of potential work for your business! For many small businesses, ensuring that they remain in good standing on one of these multi-term contracts is critically important to the health and long-term outlook of their business. For small businesses without diversified revenue streams, forecasting the winning additional work through contract renewals can be a matter of life-or-death for their business. Thus it is critically important to put one's business in the best position to be considered favorably as a contract's term completes and comes up for renewal.

It is important for all vendors pursuing government contracts to pay close attention to renewal cycles and to maintain a strong reputation with their government agency clients as being awarded work during a contract renewal term is certainly not guaranteed. For example, if a firm is listed on a GSA contract with a 5-year period, they will often have the opportunity to extend your contract for another 5-year. However, that Option to Extend or Option to Renew is NOT automatic. Instead, the government looks at renewal cycles as an opportunity to make modifications to the contract's original documentation, the scope of work and invite competitors to unseat the incumbent(s). The government is required to put the contract renewal out for competitive bid via a formal and specific process that every contract holder who wishes to renew must follow. To encourage a healthy and competitive environment with multiple bidders, the government is typically required to open the contract renewal terms for bid not just to current contract holders, but to the competition. Therefore it is critically important to ensure that once a firm has been awarded a contract with multiple renewal terms that they continue to fulfill that contract's requirements fully and that their business development team makes a point to ensure a strong relationship with government stakeholders throughout its term. Failure to act as a trusted partner during the awarded term may ultimately hurt the chances at being awarded additional work when the contract is extended (renewed) which often means an opportunity for competitors to bid against and unseat the incumbent contract holder.

In order to ensure that your firm is set up for a chance at winning additional work when the contract is extended and renewed for another term, be sure to audit your work and gather documentation so your organization can articulate and prove that it:

- Is compliant with the latest contracting regulations
- Has all of the necessary documentation in place
- Has been meeting the minimum annual sales requirements on the contracts current term
- Can prove established history in any other criteria stated by the GSA, other buying agency and/or by the Contracting Officer (CO)

For organizations wishing to continue to win work as a contract's term completes and the renewal period approaches that were not an awarded vendor on the contract's original or current term, the government will also accept past or equivalent performance narratives in their proposal for consideration to be listed as an awarded vendor on the upcoming renewal.

Summary

Deltek offers solutions across the entire Government Contracting Lifecycle, from planning to completion, all while supporting audit and compliance needs of government contractors. Deltek is a trusted partner to contractors seeking to find, win and deliver in the public sector. Regardless of business size or level of experience the government contracting team has, Deltek works on behalf of customers to give them what they need to get ahead of the competition.

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